

1,090,000. The old stock had a book value of about \$44 per share at the end of 1925, but the new stock was charged against surplus at the rate of only \$1 per share.

Similarly in 1929, the Coca-Cola Company paid a 100% stock dividend in Class A stock without par value. This stock was booked at \$5 per share (lower than the stated value of the common) despite the fact that the Class A stock has all of the characteristics of a \$50-par, 6% preferred issue, except formal designation of such a par figure. (See also the accounting by this company of its 100% dividend payable in common stock in 1927, and also our discussion of its treatment of repurchases of Class A shares in Chap. 42.)

Objections to Extraordinary Stock Dividends and Split-Ups. Extraordinary stock dividends and stock split-ups are both open to the serious objection that their declaration exercises an undue influence upon market prices and hence that they afford an avenue for manipulation and for unfair profits by insiders. It is obvious that in theory a large stock dividend gives the stockholder nothing that he did not own before. His two pieces of paper now represent the same ownership formerly expressed by one piece of paper. This reasoning led the United States Supreme Court to decide that stock dividends are not income and consequently not subject to income tax.¹ In practice, however, a stock dividend may readily be given exceptional speculative importance. For stock speculation is largely a matter of A trying to decide what B, C and D are likely to think—with B, C, and D trying to do the same. Hence a stock dividend, even if it has no real significance of any kind, can and does serve as a stimulus to that *mutual attempt at taking advantage of each other* which often lies at the bottom of speculators' activities.²

¹ This was the famous Eisner vs. Macomber decision in 1920 (252 U.S. 189). In 1936 the Supreme Court decided, in the Koshland case (297 U.S. 702), that stock dividends that gave the stockholder a different pro-rata interest than he had before were taxable. Under a ruling of the Board of Tax Appeals this would apply, for example, to a dividend payable in preferred stock of which some was previously outstanding.

² Compare the amusing and edifying simile of J. M. Keynes: "... professional investment may be likened to those newspaper competitions in which the competitors have to pick out the six prettiest faces from a hundred photographs, the prize being awarded to the competitor whose choice most nearly corresponds to the average preferences of the competitors as a whole; so that each competitor has to pick not those faces which he himself finds prettiest,